Note 13 Income taxes

The Company is subject to federal and state income taxes and the Texas franchise tax. The following table presents the "Current" and "Deferred" income tax benefit (expense) reported on the consolidated statements of operations for the periods presented:

	Years ended December 31,		
(in thousands)	2023	2022	2021
Current income tax benefit (expense):			
Federal	$ —	$ —	$ —
State	(5,723)	(6,121)	(1,324)
Deferred income tax benefit (expense):			
Federal	190,341	—	—
State	(1,281)	619	(2,321)
Total income tax benefit (expense):	$ 183,337	$ (5,502)	$ (3,645)

Total income tax benefit (expense) differed from amounts computed by applying the applicable federal income tax rate of 21% for the years ended December 31, 2023, 2022 and 2021 to pre-tax earnings as a result of the following:

	Years ended December 31,		
(in thousands)	2023	2022	2021
Income tax expense computed by applying the statutory rate	$ (107,466)	$ (133,773)	$ (31,217)
Change in deferred tax valuation allowance	297,658	144,480	45,717
Non-deductible equity-based compensation	—	(19,301)	(13,640)
State income tax and change in valuation allowance	(5,803)	8,058	(3,274)
Other items	(1,052)	(4,966)	(1,231)
Total income tax benefit (expense)	$ 183,337	$ (5,502)	$ (3,645)

The Company is required to estimate the federal and state income taxes in each of the jurisdictions it operates in. This process involves estimating the actual current tax exposure together with assessing temporary differences resulting from differing treatment of items for tax and financial accounting purposes. These differences and the Company's net operating loss carryforwards result in deferred tax assets and liabilities.

The following table presents significant components of the Company's net deferred tax asset and liability as of the dates presented:

(in thousands)	December 31, 2023	December 31, 2022
Deferred tax assets:		
Net operating loss carryforwards	$ 264,114	$ 307,357
Equity-based compensation	232	2,933
Interest expense limitation	3,908	—
Other	4,117	1,110
Total deferred tax asset	272,371	311,400
Valuation allowance	(20,145)	(298,184)
Deferred tax assets, net of valuation allowance	252,226	13,216
Deferred tax liabilities:		
Oil and natural gas properties, midstream service assets and other fixed assets	(36,524)	(11,105)
Derivatives	(25,353)	(2,331)
Other	(1,513)	—
Total deferred tax liabilities	(63,390)	(13,436)
Total net deferred tax asset (liability)[1]	$ 188,836	$ (220)

(1) The net deferred tax asset as of December 31, 2023 is included in "Deferred income taxes" on the consolidated balance sheet and the net deferred tax liability as of December 31, 2022 is included in "Other noncurrent liabilities" on the consolidated balance sheet.

As of December 31, 2023, the Company had federal net operating loss ("NOL") carryforwards totaling $1.2 billion, of which $789.8 million is subject to expiration and will begin to expire in 2034 and $366.8 million of which will not expire but may be limited in future periods, and state of Oklahoma NOL carryforwards totaling $523.7 million, of which $34.6 million will begin expiring in 2032 and $489.1 million will not expire.

As of December 31, 2023, the Company’s deferred tax assets were primarily the result of U.S. net operating loss carryforwards. A valuation allowance of $298.2 million was recorded against the gross deferred tax asset balance as of December 31, 2022, on the basis of management’s assessment that its deferred tax assets did not meet the standard for recognition. As of each reporting date, the Company considers new evidence, both positive and negative, that could affect its view of the future realization of deferred tax assets. During the year ended December 31, 2023, the Company determined that there was sufficient positive evidence to conclude that it is more likely than not its federal deferred tax assets are realizable. For the year ended December 31, 2023, the Company recorded $183.3 million of tax benefit, which is primarily attributable to the release of the valuation allowance.

The Company's effective tax rate is affected by changes in valuation allowances, recurring permanent differences and discrete items that may occur in any given year, but are not consistent from year to year. For the year ended December 31, 2023, the Company's effective tax rate was not meaningful due to the release of its valuation allowance. For the years ended December 31, 2022 and 2021, the Company had recorded a full valuation allowance against its federal and Oklahoma net deferred tax position and the only tax expense was related to Texas franchise tax. For the years ended December 31, 2022 and 2021, the Company’s items of discrete income tax expense or benefit were not material.

If the Company were to experience an "ownership change" as determined under Section 382 of the Internal Revenue Code, the Company's ability to offset taxable income arising after the ownership change with net operating losses arising prior to the ownership change could be significantly limited. Based on information available as of December 31, 2023, no such ownership change has occurred.

On August 16, 2022, the U.S. Inflation Reduction Act of 2022 (the "IRA") was signed into U.S. law. The IRA includes various tax provisions, including a 1% excise tax on stock repurchases made by publicly traded U.S. corporations and a 15% corporate alternative minimum tax ("CAMT") that applies to certain corporations with adjusted financial statement income in excess of $1.0 billion. Based on the Company's interpretation of the IRA, CAMT and related guidance, the Company does not expect the CAMT to impact its tax obligation for the 2023 taxable year; however, the 1% excise tax on stock repurchases will apply to the share repurchase program. The Company continues to evaluate the IRA and its effect on the Company's financial results and operating cash flows.